

BORN in BLOOD and FIRE

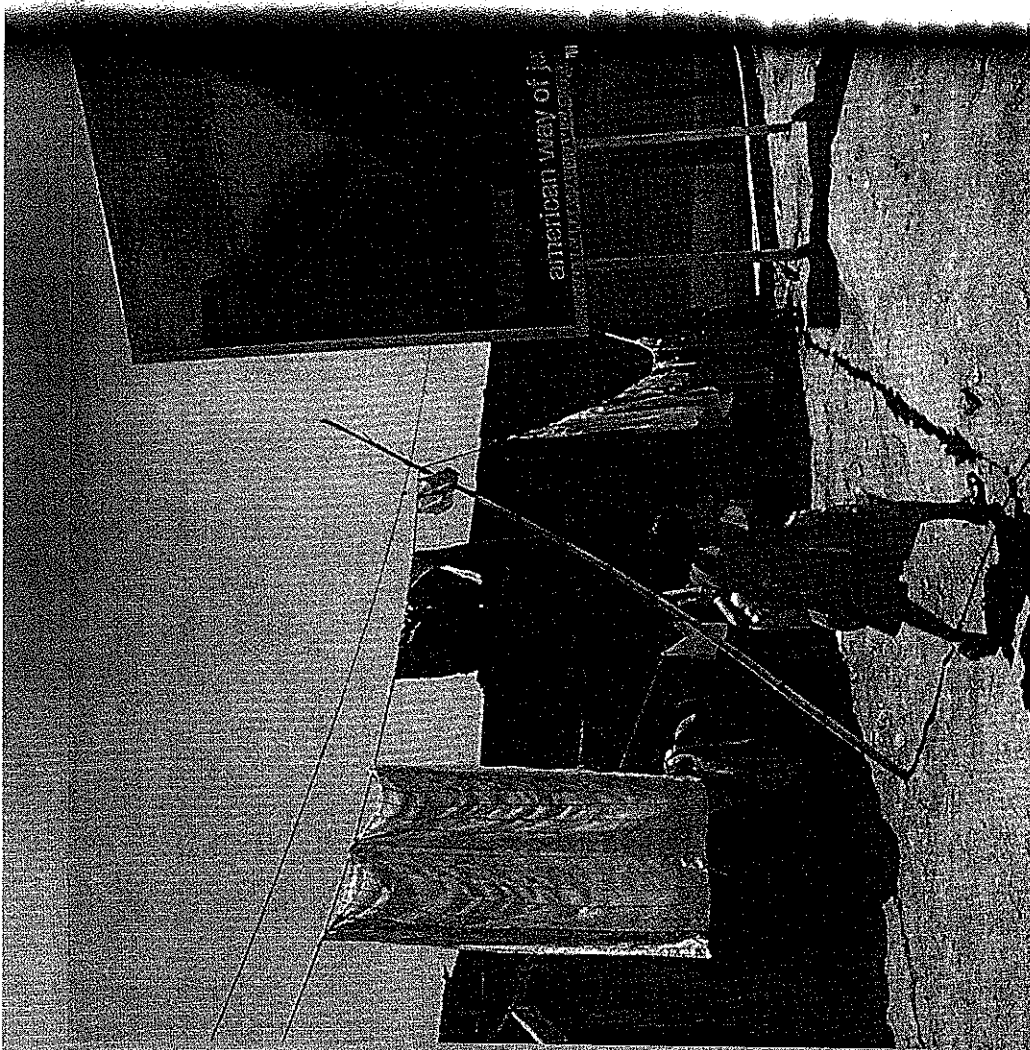


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NEOLIBERALISM

In the 1990s, the political pendulum swung decisively away from nationalism in Latin America. Marxist revolutionaries were, in general, strongly nationalist, and the reactionary dictators who crushed them were often nationalists, too—though of a different kind. In the end, both revolutionary violence and the reactionaries' bloody Cold War victory against the left discredited nationalism. Already by 1990, nationalism seemed the wave of the past in Latin America, something from the sixties generation. And now, after many decades out of favor—boosted by its association with the one remaining superpower, the United States—liberalism has returned to fill the ideological vacuum. The new generation of liberals are called *neoliberals*. For better or worse, neoliberalism—with a familiar emphasis on free trade, export production, and the doctrine of comparative advantage—reigned supreme in Latin America at the turn of the third millennium.

By the mid-1990s, it already seemed that every president in the region was a neoliberal. Take Fernando Henrique Cardoso, a formerly Marxist sociology professor, a famous dependency theorist who had inspired a generation of radical social scientists throughout Latin America and the United States during the 1970s and 1980s. By the time he was elected president of



THE PURSUES OF GLOBALIZATION. At the dawn of the new millennium, consumer culture is everywhere in Latin America. For the well-off minority, the availability of imported goods brings long-awaited satisfactions. But for the poor majority, like the residents of this poor Guatemalan city neighborhood, where people can afford to consume little, the lure of consumer culture produces mostly anger and frustration. Photograph by Jean-Marc Simon.

1993	1992	1994	2001	1996
Neoliberal reforms throughout region	Indigenous leaders meet in La Paz	NAPRA takes effect	Argentina details on its external debts	Unsuccessful presidential election of Brazil

Brazil in 1994, Cardoso was a neoliberal. Even the Peronist leader twice elected president of Argentina, Carlos Menem, was a neoliberal. Even the PRI presidents of Mexico, supposed heirs of another great nationalist tradition, were now neoliberals. In fact, Carlos Salinas and Ernesto Zedillo, who led the embattled Institutional Revolutionary Party in the 1990s, both had professional training in neoliberal economics at US Ivy League universities. Neoliberals got the encouragement of the US government, and they put up sails to catch turn-of-the-century winds of globalization.

Neoliberals jettisoned all trappings of economic nationalism and embraced the basic liberal faith in the free market. So they sold off, or *privatized*, the state-run corporations and public services that nationalists had created all over Latin America as declarations of "economic independence." State bureaucracy is notoriously inefficient around the world, and state-run telephone and oil companies had proved fiascoes in Latin America. Free-trading neoliberals slashed the import tariffs that nationalists had raised to protect Latin American industries. They deregulated capital flows, for example, removing nationalist-inspired limits on profit that multinational corporations could freely take out of a country each year. They reduced or removed the nationalist-inspired subsidies that made basic foodstuffs and public services affordable for the poor. Neoliberals also initiated all-out assaults on inflation, which substantially undermines the functioning of the market.

Neoliberals had few new ideas. Everything they recommended had already been tried in Latin America before 1930. So where did they get their impressive momentum? To begin with, the ordeal of recent years had dimmed the glamour of nationalism, as we have seen. In addition, 1990s neoliberals could take credit for taming the debt crisis of the 1980s.

During the 1980s, many Latin American countries had struggled to keep up payments on foreign debts. These debts

had grown huge suddenly, thanks to high world oil prices and heavy short-term borrowing in the 1970s. Overwhelmed, Mexico and Brazil temporarily stopped payments in 1982. As world interest rates rose steeply in the 1980s, large short-term loans had to be refinanced at much higher rates. The national debts of Latin America mushroomed, much as the US national debt was doing at the same time. The difference: Latin American debts were "external," owed mostly to foreign banks. The external debts of the region as a whole rose from \$105 billion (1976) to \$397 billion (1986), with Mexico and Brazil owing the most. Countries that defaulted on their external debts would find themselves internationally bankrupt and isolated.

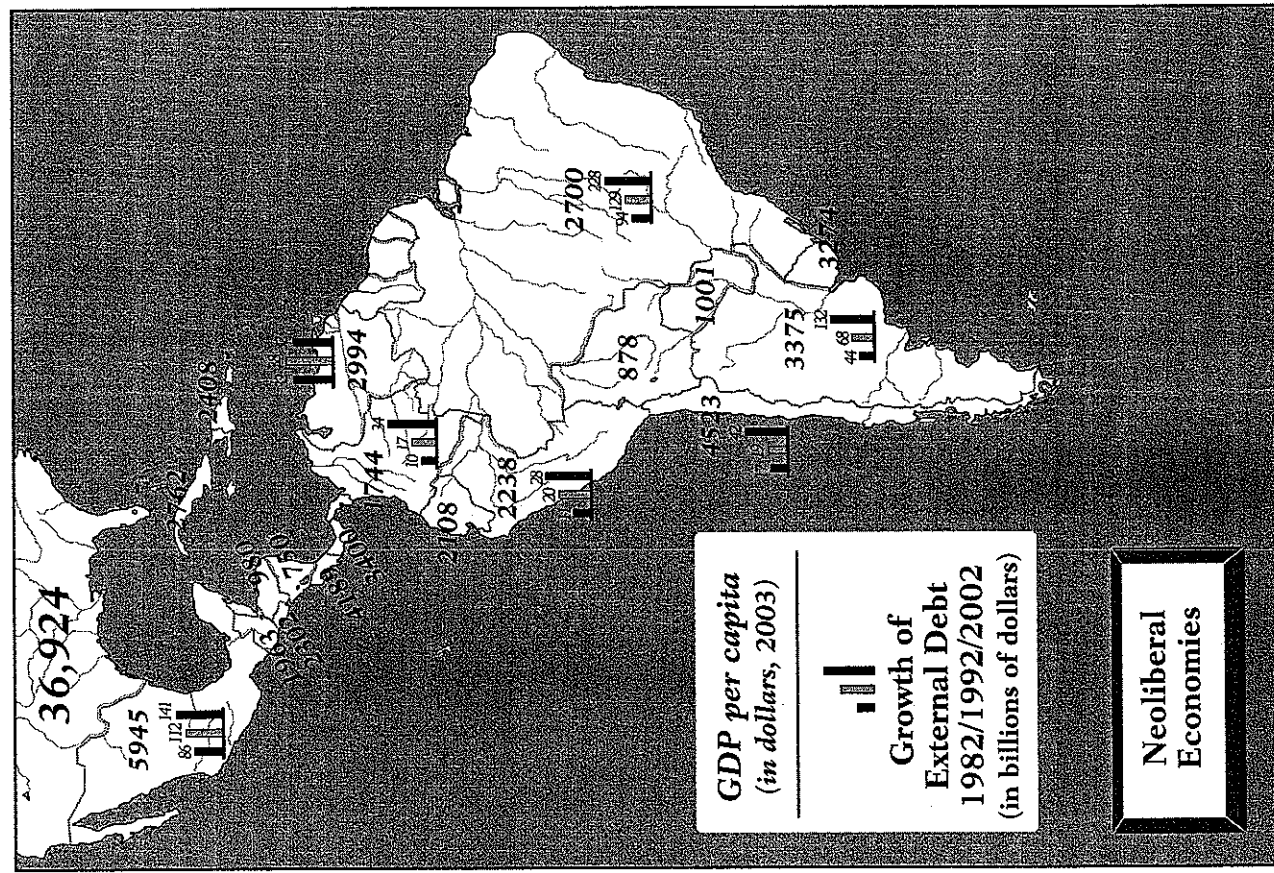
Foreign lenders, such as those of the influential International Monetary Fund (IMF), believed that the solution to Latin American insolvency lay in free-market policies. So they enthusiastically promoted neoliberal policies. To encourage neoliberalism in Latin America, foreign lenders gradually "rolled over" the external debts of one country after another into long-term bonds. These debts continued to increase in the 1990s, but now the borrowing countries could make the payments. The IMF typically insisted on reductions in social spending, and Latin America's poor felt the pinch of this "belt-tightening." Still, the crisis was over, and the region seemed to have turned a corner.

Neoliberalism acquired a strong cachet of success in the 1990s. The hyperinflation that had plagued both Brazil and Argentina for decades was halted rather spectacularly for a while by neoliberal policies. For a few years, Latin America was heralded among US investors as a great emerging market, offering vast investment opportunities. Neoliberal policies encouraged foreign capital in Latin America—and in it came, billions of dollars' worth. US fast-food franchises sprang up in major cities from Chile to Mexico. In 1994, the creation of the North American Free Trade Agreement (NAFTA), the linchpin of Mexican

neoliberalism in the 1990s, seemed portentous to people on both sides of the border. One year later, Brazil, Argentina, Paraguay, and Uruguay inaugurated their own free-trade zone, called MERCOSUR. The freer trade of the 1990s allowed middle-class apartment dwellers from Mexico City to Santiago to access the Internet, tune in via satellite to US or European television, and become avid consumers in a transnational economy. Neoliberal reductions in tariff barriers brought lower prices and greater variety in everything imported, from cars to VCRs to cellular telephones.

The neoliberals also attracted new transnational corporations to Latin America, but the impact of that strategy has been mixed. One of the most common transnational operations was and is the *maquiladora*, an assembly plant using lots of cheap labor, most often women's labor, to put together imported parts. Low tariffs facilitate *maquiladora* production. For example, *maquiladoras* on the Mexican side of the US border may receive parts from Asia, assemble them, then send the finished products across the border for sale in the United States. *Maquiladora* workers mean little to the companies that employ them. Women who become pregnant, for example, are quickly fired in most cases. Low labor costs constitute the *maquiladoras'* main reason for being in Latin America. So neoliberal governments try to hold wages down, even as food and transportation subsidies are withdrawn from the poor.

Chile stood out as the neoliberal success story of the 1990s. Chile's neoliberal economic reforms began during the years of dictatorship, famously advised by economists from the University of Chicago, the so-called Chicago Boys. By the 1990s, Chile boasted low inflation, good credit, steady growth, and diversified exports, going roughly equally to European, Asian, and American countries. The expansion of the Chilean economy had been so steady and vigorous that it benefited all Chileans to some extent—but, as elsewhere, the middle classes benefited



most. Meanwhile, Chile's distribution of wealth remained among the most unequal in Latin America. The best-case scenario of neoliberalism, in other words, still promised least to the neediest.

In a nutshell, consumers, mostly middle-class people, have benefited most from neoliberalism. To "shop the world," without trade barriers, is obviously an advantage for those with sufficient spending money. On the other hand, most producers have lost out—at least so far. Of course, producers are also consumers, but in greatly varying degrees. Poor Latin Americans consume relatively little, and many more Latin Americans are poor by US standards than are middle-class. Measured in dollars, the US economy generates over \$46,000 per person, but the Brazilian, Mexican, and Argentine economies only around \$8,000, the Colombian economy something like \$5,000, and the Bolivian and Honduran economies less than \$2,000, according to 2009 statistics.

Under neoliberalism, the gains made by Latin Americans as small-time consumers have been overwhelmed by their loss as producers. The region's impoverished majority buys inexpensive clothing sold in bins, toiletries arrayed on the edge of the sidewalk, a plastic bucket this week, a cheap digital watch the next. Most of the pitiful wages earned by Latin America's poor majority goes for the bare essentials such as rice and bus fare, day after day, month after month. Meanwhile, as Latin American industries collapse across the region, devastated by foreign competition that the nationalists had kept out, millions of workers face unemployment or long-term underemployment in the so-called "informal" service sector. They sell Chiclets at bus stops, wash windshields at intersections, and collect recyclables in rickety carts. Some are glad to find work in maquiladoras, but how happy can a maquiladora job make anyone in the long run?

Neoliberal reforms have reduced government spending, a step toward balancing national budgets and reducing debt, but at a bitter social cost. The subsidies, protected industries, state-run corporations, and large bureaucracies that the nationalists had created in Latin America were inefficient, true enough. But they also provided a living for millions whom the neoliberals have left unemployed. Similarly, state-run services lost money partly because they provided electricity or running water to the very poor. Privatized telephone companies, for another example, improved telecommunications for those who could afford a phone, but affording a phone became more difficult for many.

Sound familiar? In many ways, the impact of neoliberal reforms resembled the impact of liberal reforms in 1870–1930. Latin America became more "modern" in the technological sense. Foreign capital and foreign products poured in. Better-off people benefited, but less fortunate Latin Americans suffered. Familiar winners, familiar losers. A glance back at the 1890s puts present-day neoliberal "innovations" in historical perspective. The PRI technocrats of the 1990s seem reminiscent of the technocratic Científicos who advised Porfirio Díaz on the eve of the Mexican Revolution. Not by accident did the PRI begin to revise Mexican history textbooks to rehabilitate the image of Díaz, long painted as a villain by the nationalists.

The new textbooks also downplayed revolutionary heroes like Emiliano Zapata. But on the very day that NAFTA took effect in 1994, indigenous rebels calling themselves Zapatistas declared their opposition to the new trade arrangement. These new Zapatistas were Mayas from villages near the Guatemalan border, an area of Mexico remote from Zapata's old stomping ground. They had immediate demands relating to agricultural land, but they also had a broader vision. They took Zapata's name to remind Mexico of its nationalist heritage. Subcomandante Marcos, the mysterious ski-mask-wearing, pipe-smoking Zapatista

spokesperson, soon appeared on T-shirts all over the country. The new Zapatista uprising was a fly in the neoliberal ointment. It could not threaten the PRI militarily, but it tarnished the country's open-for-business image. The new Zapatista movement showed a certain media savvy. It had a Web site. It could mobilize sympathizers in Europe and the United States. Thousands of them went to Chiapas, the state where the rebellion was occurring, as international human rights observers. There they observed government armed forces wreaking havoc in Mayan villages suspected of supporting the rebels. Although it made a show of negotiating, the Mexican government devoted itself mostly to deporting the observers and crushing the rebellion. To do so, it used all the tried-and-true techniques of "low-intensity" warfare, including widespread arming of village anti-insurgent militias, which have shown a repeated tendency to run amok, as in Colombia.

The new Zapatistas never had a prayer of defeating the Mexican army. Or rather, prayers they *did* have. The cause of indigenous people was still the cause of the Catholic Church in Chiapas, where Friar Bartolomé de las Casas had been bishop himself for a few years in the 1500s. Like Las Casas four hundred years earlier, the indigenous Zapatistas haunted the conscience of a whole society. They represented a potent moral force.

Another challenge to neoliberalism came from the Shining Path insurgency that arose in the Peruvian highlands. The Shining Path's campaign of terror owed more to the mystical vision of its charismatic leader, Abimael Guzmán, than to its old-style Marxist ideological roots. It drew strongly on the long Peruvian tradition of *indigenismo*, seeking inspiration in the imagery of a sort of Inca revival. Shining Path militants possessed a rare *esprit de corps* that maintained its potency even during years of imprisonment. Unfortunately, their courage and dedication were harnessed to a quasi-religious spirit that

condoned cataclysmic violence. Shining Path made striking gains in the heavily indigenous Andes, where more orthodox Marxist insurgencies had never found many followers. And it flowed, along with the enormous internal migration of indigenous people from the highlands, to Lima. At the same time, it spread from its highland strongholds in the opposite direction, down the eastern Andean slopes toward the Amazon basin, into areas of coca production along the Huallaga valley. There Shining Path began to support and protect coca growing to finance its operations throughout Peru. However, Shining Path lost momentum after the capture of its visionary leader in 1992.

The new Zapatistas, and, in a way, the Shining Path too, advanced claims that indigenous people were making all over Latin America. In some ways, the list of grievances was five hundred years old. In 1992, the five-hundredth anniversary of Columbus's first voyage became the specific occasion of indigenous meetings and declarations. Understandably, the mood was one of mourning rather than happy commemoration. At an international meeting in La Paz, Bolivia, representatives of widely scattered indigenous peoples—Maya, Nāñú-Otomí, Kuna, Cherokee, Quechua, Tarahumara, Aymara, Guaymí, and Nahua, among others—declared, on the subject of the glorious Discovery of America: "Our wise men were persecuted, tortured, massacred. Our sacred books and symbols were destroyed. Our gold and silver, stolen. Our territory, usurped." They had a point. And it was a point that few Latin Americans could fail to recognize.

Whether gathering in Mexico or Ecuador or Bolivia, indigenous leaders demanded sufficient land to farm and a fair share of government benefits. But above all, they asked to be allowed to remain themselves, preserving their language, their lifeways, and aspects of their political autonomy. These demands reflected the multiculturalist intellectual mood of the 1990s in the West

generally, but they collided with one of the strongest legacies of twentieth-century nationalism, still widely influential despite the neoliberal onslaught.

By the first decade of the twenty-first century, generations of nationalist teaching had instilled in most Latin Americans a strong respect for symbols of their mixed-race origins. Mestizo nationalism, with its emphasis on racial and cultural amalgamation, remained the emotional bedrock of national identities wherever people of indigenous descent carried demographic weight—especially Mexico, Guatemala, El Salvador, Nicaragua, Colombia, Ecuador, Peru, and Bolivia. After five centuries of struggle, Latin American race relations still left much to be desired. Many proclaimed that racism no longer existed, but that was definitely not true. Dark skin color, whether indigenous or African, remained a social disadvantage. At its worst, mestizo nationalism sometimes functioned in practice as a denial or cover-up of the problem it was meant to solve.

While mestizo nationalism redeemed a previously scorned racial status, it led to its own kind of oppression too. After all, there are as many differences *within* countries as *between* them. Whose accent, whose music, whose cuisine, whose skin tone gets to represent the whole nation? According to Mexican nationalist ideology, a mestizo is now considered somehow more Mexican than others born in Mexico. Many other Latin American nations have instituted this quasi-official mestizo self-image. The mestizo image does describe many, perhaps most, Latin Americans, but it marginalizes others. In the Dominican Republic, for example, the mixed-race image excludes people of strong African descent, especially immigrants from Haiti, who appear “too black to be Dominican.” In Mexico, Central America, and the Andes, it excludes indigenous people, pushing them to “stop being Indians,” adopt a mestizo identity, and enter the national mainstream.

The Zapatistas and other indigenous leaders of the new millennium resisted this pressure more vocally than in the past. In Latin America overall, however, people who maintained an indigenous identity in 2010 constituted a small percentage of the population. Despite its symbolic power, indigenous resistance did not fundamentally undercut the homogenizing pressures of mestizo nationalism. Brazil's movement for black advancement and civil rights encountered similar nationalist resistance when trying to mobilize Brazilians of African descent around a specifically black political agenda.

Nearly half of all Brazilians are of pure or mixed African descent. They tend, overall, to be the poorest half of the country, and the darker they are, the poorer. Brazil's Unified Black Movement (MNU) was formed in 1978 to mobilize these people around an awareness of their shared identity as victims of racism. But the Brazilian poor have never shown much interest in the MNU. Partly, they are skeptical about all political movements; partly they still respond to Brazil's version of mestizo nationalism. Since the 1930s, the vision of a Brazilian “racial democracy” has been the widely popular keystone of the country's national identity. The idea was so welcome, after centuries of official white supremacy, that it took root powerfully among Brazilians of all colors. The slogan “racial democracy” incorrectly suggests an absence of racism, and even though Brazilians used the occasion of the hundredth anniversary of abolition (1988) to denounce the massive presence of racism with near unanimity, they have not given up the idea that racial and cultural mixing lies at the heart of Brazilian identity.

Whatever its drawbacks, mestizo nationalism is much more democratic and inclusive than white supremacy. It constituted a popular step forward in Latin American racial politics during the 1930s, and it retains a powerful appeal today among Latin Americans, rich and poor, black and white, indigenous as well

as mestizo. Latin American societies have not transcended racism by embracing indigenous American and African elements in their national mix, but they have gotten further than many other multiracial societies, including, many believe, the United States. This remains the proudest and most potent aspect of Latin American nationalism.

History repeats itself, but it never repeats itself exactly. Neoliberalism may be the old liberalism déjà vu, but Latin America has changed since liberalism's last time around. The original sin of social exploitation has not been undone in Latin America. The hegemony of European culture remains intact. But in 2010, thanks to the nationalist tide of the mid-twentieth century, the great majority of Latin Americans, including the middle classes and even some of the very rich, now honor their indigenous and African heritage, at least theoretically. Transculturation, that dynamic engine of Latin American identities, has continued. For example, *capoeira*, an Afro-Brazilian combination of dance and martial art, now has adherents worldwide. Meanwhile, in Bahia, a principal center of capoeira's development, black Brazilian youth have adopted both Jamaican reggae and US soul music as their own.

New Latin American variants of West African religion, including Brazilian *Candomblé* and its first cousin, Cuban *Santería*, have acquired many new believers since the late twentieth century. These religions include a pantheon of gods, each associated with particular qualities, somewhat as in ancient Greek religion. For example, teenage surfers in Bahia, Brazil, now commonly put themselves in the hand of Iemanjá, goddess of the sea, as they paddle into the breakers. Another rapidly growing religion, *Umbanda*, freely combines African and European elements to produce something uniquely Brazilian. *Candomblé* and *Umbanda* ceremonies include moments of spirit possession, when worshipers feel possessed by invisible forces. In traditional *Candomblé*, these forces are inter-

preted as West African gods. In Umbanda, however, most are Brazilian spirits, including the spirits of indigenous people and African slaves. Many new converts, especially to Umbanda, are middle-class and white.

Another tide of religious change transforming Latin America in 2010 is the rise of Protestantism, notably in Brazil but also elsewhere, from Chile to Guatemala. Among the fastest-growing Protestant groups are the Pentecostals and other evangelical Christian faiths originating in the United States. The Mormon Church sends out probably the most consistent and persistent waves of young, clean-cut missionaries. After four centuries in which virtually everyone in Latin America was at least nominally Catholic, some countries will soon be one quarter or more Protestant. In others, like Mexico and Colombia, however, Protestants still constitute only a small percentage of the population. Liberation theology has continued to recede, but there is no sign of an end to the religious energies of Latin American Catholics, who make informal saints of deceased pop-culture idols and leave offerings of headlights at roadside shrines.

If understanding Latin America has always challenged us in the United States, perhaps the challenge is getting easier. After all, increasingly the Latin Americans are *us*. In a United States more heavily immigrant than anytime since the early 1900s, Latin Americans are the most numerous immigrants. People of Latin American descent now compose the country's biggest minority group, representing over a seventh of our total population. Mexicans and Mexican Americans in the southwest, Puerto Ricans and Dominicans in New York, and Cubans in Florida form large, influential communities. Well over half of all US Latinos are of Mexican descent, but Latin Americans of many other countries can now be found throughout the United States. It is important to recognize that US Latinos are divided along national, racial, and ethnic lines. In fact, the umbrella

term "Latino" means little outside the United States. Only here do Mexicans, Puerto Ricans, and Bolivians, brought together by the Spanish language, begin to see each other as Latinos. And Brazilians generally do not identify as Latinos, even in the United States.

Immigration from Latin America is changing US culture. Spanish-language publications abound. There are Spanish-language television networks. Supermarkets all over the country carry tortillas, cilantro, and plantains. Small *tiendas mexicanas*, frequented by farm workers, dot the rural South. Everybody's tastes are changing. Sales of spicy salsa have surpassed sales of an older American favorite, ketchup. Another kind of salsa, the fabulously polyrhythmic dance music, was born of Cuban parangate in New York and was disseminated from there throughout the Caribbean basin. Salsa remains beyond the ability of most US dancers; fortunately, the strong Dominican immigration of the 1980s brought merengue, a more rhythmically straightforward music, easier for gringo dancers to learn.

Large-scale immigration also brings challenges. As tens of thousands of people make the perilous desert crossing in search of work and a better life for themselves and their families in the United States, all sorts of issues arise en route and at their destination. Much of the current wave of migrants is going to places that formerly received few immigrants, especially southeastern states like North and South Carolina, dramatically transforming the cultural picture of many a depopulated small town. In a conflictive world of large uncertainties, the transformations created by rapid immigration are sure to produce fearful reactions; and, just as surely, political opportunists of various stripes will exploit those fears. The result is not pretty. It involves calls for a forbidding border wall of gargantuan length to keep the migrants out. It involves laws mandating the systematic deportation of those who are already here. At worst, it involves scapegoating the migrants (as if they were personally responsible for the



CHICAGO, MAY 2006. Mass pro-immigration demonstrations occurred in many US cities as a response to anti-immigrant initiatives in the first decade of the twenty-first century. Photograph by Steve Schapiro/Corbis.

global economic realities that drive their migration) and attempting to limit the health care and education available to them and their children. Zealots volunteer to patrol the border themselves and to maintain watch via remote surveillance cameras that can be monitored on the Internet from the comfort of their living rooms. It all seems un-American. But, of course, it isn't. What could be more American, after all, than being an immigrant and then, after a few decades, fearing immigration and reacting against it? It is a troubled process, but no place can make it work, in the end, like the United States of America.

Meanwhile, other challenges loom on the Latin American horizon, particularly environmental ones. Environmental devastation is worse in developing countries than in developed ones, because avoiding or fixing it is expensive. In addition, letting factories pollute is one way of attracting multinational corporations to Latin America. The area of maquiladora production along Mexico's border with the United States constitutes a well-known example. Undoubtedly, however, Latin America's best-known, largest-scale environmental issues concern the Amazonian rainforest.

A significant fraction of the Amazonian rainforest has already been destroyed, but it still occupies roughly a third of Brazil's national territory, as well as parts of Venezuela, Colombia, Ecuador, Peru, and Bolivia. It remains, by far, the largest tropical forest in the world. Human activity hardly made a scratch on the Amazonian forest until the 1960s. It remained the home of indigenous people living in relatively undisturbed tribal cultures, with a sprinkling of settlers along the major rivers, many of them descendants of rubber tappers who arrived around 1900. Then, in the 1960s and 1970s, the Brazilian military government launched one major World Bank-funded development project after another in the Amazonian rainforest, logging it, cutting highways into it, promoting massive mining projects (iron, gold, manganese, nickel, copper, bauxite) that stripped and tore it,



SETTLER IN BRAZILIAN AMAZONIA. Burning the rainforest is a way of clearing it for agriculture. Cleared land in the Amazon basin is unlikely to retain its fertility for more than a few years, yet the burning continues because of demand for land. *Photograph by Michael Harvey/Panos.*

and building gargantuan hydroelectric dams that flooded thousands of square miles of it. Highly poisonous mercury pollution, a by-product of gold mining, entered Amazonian waterways by hundreds of thousands of tons. Brazil's military government was especially eager to populate the country's remote Amazonian borders, which it regarded as a security risk, with "real Brazilians" rather than indigenous people. In Ecuadorian Amazonia, oil drilling wrought devastation. The forest tribes were decimated by disease. Some melted away to nothing in only a few years.

Still, the Brazilian and Ecuadorian governments were determined to exploit the resources of Amazonia. After all, as they pointed out, the rich farmlands of the Midwestern United States had once been mostly forested and inhabited by indigenous people, too. But tropical rainforest is not like other woodlands.

One of the world's oldest habitats, rainforests have developed a biodiversity unequalled anywhere else on the planet. Even more than elsewhere, pervasive webs of symbiotic relationships make rainforest organisms superspecialized and intricately interdependent. That interdependence, in turn, makes rainforest ecologies uniquely fragile. When large areas of the forest are cut down, a few species of trees grow back, but the original biodiversity is permanently lost. Another kind of fragility comes from the thin Amazonian soil, which is quickly washed away by torrential rains when shorn of protective tree cover. As a result, cleared land quickly erodes and becomes almost useless.

In the 1980s, when something like six thousand square miles of the forest were disappearing each year in clouds of smoke the size of Belgium, the disastrous consequences of Amazonian development became obvious. Rondônia, a western state bordering on Bolivia, had become the Brazilian government's great model of agricultural colonization, its much ballyhooed "Northwest Pole." But even when the land was allotted to poor settlers from other parts of Brazil, arriving by the hundred thousand each year, Amazonian colonization rarely worked. The would-be colonists had high hopes but little preparation, and less than a tenth of Rondônia turned out to be suitable farmland anyway. Most settlers gave up after only two or three years. Their plots were often bought by wealthy ranchers.

Ranching, which uses a lot of land and employs few people, accounts for much of the deforestation in Amazonia. The ranchers are often large-scale speculators for whom ranching is a business venture rather than a way of life. Commonly, they live in cities, work in air-conditioned offices, and leave the ranching itself to hired administrators. They buy enormous tracts of land, clear them with bulldozers, put cattle on them until the degraded soil and scrubby vegetation will no longer support even cattle, then sell the land and move on. After all, they are in business to

make money. Curbing the natural profit motive that drives free markets is not exactly a neoliberal strong point.

It's time to revisit the "political pendulum" metaphor that began this chapter. The pendulum metaphor helps us visualize decisive reversals of political trends. But it also suggests alternating swings of equal length, and that may be misleading. The neoliberal model is already giving clear signs of exhaustion as we enter the second decade of the twenty-first century, and nationalism is making a comeback.

The blush was off the neoliberal rose already by September 11, 2001, when a terrorist attack brought down the twin towers of New York's World Trade Center. Mexico's neoliberal president, Carlos Salinas, had already earned universal disgrace for the massive corruption of his administration, and 1994–95 saw the worst economic crisis to occur in Mexico in decades. Urban delinquency was reaching new heights in the Mexican capital and many of the region's other largest cities, provoking some of the most massive protest demonstrations ever seen anywhere. The optimism of the 1990s evaporated in most of Latin America, despite the new cars and computers enjoyed by the middle class, as globalization failed notably to produce universal prosperity. Argentina, a country that had implemented all of the rigorous recommendations of the International Monetary Fund, imploded economically in December 2001, defaulting on its foreign debts. Indigence and homelessness reached heights not witnessed in Buenos Aires during the whole of the twentieth century.

Gradually, in country after country across Latin America, voters began to reject the neoliberal vision of free-market supremacy by electing presidents of a markedly nationalist bent. In the US media, these presidents were often characterized as leftist, but few of them turned decisively toward socialist economic policies. Rather, they revived the nationalist vision of anti-imperialism

and activist government. They did not reject the entire concept of capitalist globalization, but they declared their determination to mitigate its impact within the borders of their countries. And they stood together in international forums, forcefully dramatizing their refusal to toe any policy line laid down by the United States. By 2010, presidents who more or less matched this description governed most of the countries of the region.

In 2002, Brazilians elected Luiz Inácio da Silva, "Lula," a former metalworker and union leader, to govern Latin America's largest, most populous, and most economically dynamic nation. Before becoming president, Lula had spent twenty years forging a cohesive and democratic grassroots labor party, the PT, running unsuccessfully for president over and over. He finally won on his fourth try. Lula's most urgent goal was to ensure that no Brazilian go to bed hungry, yet this "zero hunger" initiative proved difficult to achieve, given Brazil's enormous debt obligations. Lula vowed to meet those obligations and advanced toward his social goals with a caution that disappointed many of his more radical supporters. However, the "family scholarship" instituted by the PT government, providing income support for poor families as long as they kept their children in school, began to reduce poverty and encouraged poorer voters to reelect Lula in 2006. The Brazilian economy forged ahead, showing remarkable resilience during the global recession that began in 2008. Over all, Brazil's new nationalist government offered a steady and substantive counterexample to neoliberal governance along the lines promoted by the United States and the World Trade Organization.

Venezuela's president Hugo Chávez, a former army officer, offered a different sort of nationalist alternative. Flamboyant, reckless, and outspoken, Chávez contrasted with Lula in all sorts of ways. His first bid to take over Venezuela, back in 1992, had been a coup attempt. Then, in 2002, he survived an attempted coup against his own elected presidency and

entrenched himself in power for the rest of the decade. Chávez has channeled resources to poor Venezuelans largely in the form of patronage in exchange for their support for his political initiatives. This approach is admittedly less than desirable, but the resulting largesse is more than the Venezuelan poor have gotten from their governments in the past, and they have rewarded Chávez with powerful loyalty. On the other hand, Chávez's furious rhetoric and domineering use of government authority against his political adversaries have won him the implacable hostility of the Venezuelan middle class. In addition, Chávez has been the most high-profile of Latin America's new nationalist presidents internationally, active in a number of projects for regional integration. In 2009, he won a referendum eliminating term limits and allowing him to be reelected indefinitely.

A third notable new nationalist president, Bolivia's Evo Morales, took office in 2006. Morales is an indigenous Aymara, the first to rule this largely indigenous country since the time of the Spanish Conquest. As a boy he herded llamas, and as a young man he headed a union of coca growers, producers of the leaves consumed by Bolivia's indigenous people since time immemorial—but also consumed as a raw material by refiners of cocaine. Morales thus began his political career by resisting US-inspired efforts to eradicate the crop that provided his followers' livelihood. As president, Morales has his base of support in the heavily indigenous Andean highlands, and he has been systematically opposed in the lowland eastern region around Santa Cruz, the country's principal pole of economic growth. The opposition is founded not only on regional economics, but also on the antagonism expressed around Santa Cruz toward the bid for political empowerment by the Aymara and Quechua supporters of Morales. Despite that opposition, Morales has called a constituent assembly and managed to oversee the creation of a new constitution that significantly improves the situation of

Bolivia's long-oppressed indigenous majority. The constitution took effect in 2009.

Mexico and Colombia, the second and third most populous Latin American countries, remained exceptions to the nationalist comeback of 2001–9. During those years both countries were governed by presidents of a strongly neoliberal orientation, closely associated with US interests. In Chile, a leftist president was elected in 2006 but replaced in 2010 by a neoliberal businessman. So much for too-tidy pendulum metaphors.

Will globalization solve Latin America's basic problems of social inequity? There is very little sign of that happening, and Latin American voters have strongly registered their reservations about the power of a totally unfettered free market. Still, they have not entirely rejected free-market capitalism, and the election of Barack Obama as US president has softened the attitude of many Latin Americans toward the United States. Perhaps the sudden eclipse of nationalism since the 1980s will prove to be just that—an eclipse, remarkable but temporary. The recent global economic crisis has reminded everyone that the explosive growth of unregulated markets can be destructive as well as beneficial. Neither liberalism nor nationalism, in a pure form, has allowed Latin American societies to escape the lingering consequences of their “original sin,” their birth in blood and fire half a millennium ago. What will the future bring? No history book can answer that question, so watch the news, but be prepared for surprises.

GLOSSARY

of Foreign Language

Terms and Key Concepts

Americanos (Spa. and Port.): the nativist term used during the wars of independence to suggest a natural alliance among all people born in America against the Spaniards and Portuguese.

Bandeirantes (Port.): the wandering frontier raiders of colonial Brazil, based mostly in São Paulo. Their chief activity was slave hunting.

Cabildo (Spa., equivalent to *câmara* in Portuguese): the city council, one of the most important institutions of colonial government. Around 1810, at the outset of Spanish America's wars of independence, open city council meetings (*cabildos abiertos*) constituted early steps toward independent authority.

caste system: a social hierarchy encoded in law and based on inherited characteristics, real or imagined. Latin America's colonial caste system corresponded more or less to what we call *race*. Caste can be usefully contrasted to *class*, which is based more on socioeconomic factors.

caudillo (Spa.): a strong political leader who commands the personal loyalty of many followers. The mid-1800s was the heyday of *caudillismo*. Although Brazil has also seen strong leaders, *caudillismo* has operated more powerfully in Spanish America.

Científicos: see *Porfiriato*.

clients: in political terms, *clients* receive benefits (such as protection or government employment) from a *patrón* in return for their loyalty (in civil wars or elections, for example).